

example, you can set your entertainment category to \$150 a month, then check periodically to see if you are on pace to meet that goal, or if you need to slow down to stay under budget.

A more traditional system is the envelope system, where you put actual cash into five or six different envelopes that represent spending categories—food, rent, entertainment, and so forth. Once each envelope is out of cash, you know you cannot spend any more money in that category. This method may be helpful for people who need to see real cash disappearing in order to understand and control their spending. It can, however, be impractical or even dangerous to leave that sort of cash lying around. There are pros and cons to each budgeting system, but regardless of the one you choose, the concept of monitoring and controlling your spending remains the same. The point is, find the system that works best for you, and stick to it.

Beyond the basics of choosing a budgeting system, the question I get most often from my students is, “How do I make a budget?” They want to know how much they should be investing, how much they should spend toward debt, how much they can spend on new clothes without feeling bad about it, and so forth. These are all great questions, and the answers depend on your income, your expenses, and your financial goals. Instead of thinking of a set amount you should be allocating to each category in your budget, you need to be thinking in terms of percentages.

Your budget should be based on percentages of your take-home pay, which is the income you receive after taxes have been deducted from your paycheck. There is no set price point that makes something expensive or affordable in every budget. Paying \$800 per month for rent is a fantastic deal for someone who has a monthly take-home pay of \$5,000, but it will cripple someone else who only makes \$1,600 per month after taxes. Also, some people